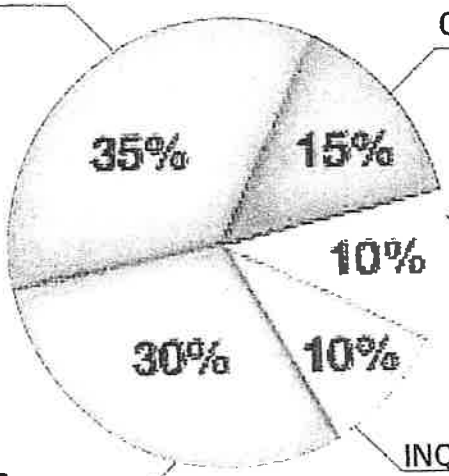
THE FIVE FACTORS OF CREDIT SCORES

Credit Scores are comprised of five factors. Points are awarded for each component and a high score is most favorable.

PAYMENT HISTORY

Paying off debts on time has the greatest positive impact on your credit score. Late payments, judgments, collections, etc all have a negative impact. Recent delinquencies (in the last 2 years) carry more weight.



CREDIT HISTORY

This portion of the credit score indicates the length of time since a particular credit line was established.

TYPES OF CREDIT

A good mix of credit which includes 3-5 open, active accounts with a mixture of installment and revolving is best

OUTSTANDING CREDIT CARD BALANCES

This factor marks the ratio between the amount owed and the remaining available credit. Your goal should be to keep your credit balance below 30% of the credit limit at all times. Ideally, you should keep balances as close to zero as possible.

INQUIRIES

This percentage of the credit score quantifies the number of inquiries made to your credit within a 12 month period. Each new credit inquiry, or a hard inquiry, can reduce points from your score. Personal inquiries, or a soft inquiries, does not impact your score.

CREDIT SCORE IMPROVEMENT TIPS

1. Pay all of your bills prior to due date. Do not let any account go into collection or judgment – including medical bills.
2. Maintain credit card balances at less than 30% of the credit limit at all times.
3. Pay down accounts that are over the limit.
4. Do not close any account unless instructed by the mortgage company.
5. Keep 2 or 3 revolving accounts open and active.
6. Limit credit inquiries.
7. If you need to establish credit, visit your bank to obtain a secured credit card
8. Review your credit at www.annualcreditreport.com.
9. Dispute inaccurate information with the bureaus.

